

Two Events, Only One Priced

Positioning went to its most aggressive since 2021 on Friday, into a week holding one measurable event and one that is not.

THE READING

Friday reversed Thursday. Semiconductors led, the KOSPI held above its 6,697 breakout, and the dollar printed a fresh cycle low on the back of the Treasury's buyback. Gold made a record near \$4,587 an ounce. Bitcoin closed at \$76,943.90, up 22% on the week. The thirty-year sat at 5.25%.

Hedgeye's long-only book went to its maximum thirty positions and Real-Time Alerts to twelve longs against one short — as long as Keith McCullough has been since 2021, with the S&P about 2% below its all-time high on decelerating volume. The published range is 7,610–7,835, the VIX band 13.90–16.54. The mood is not euphoria. It is confidence that Thursday's fall was mechanical and the machinery still works.

WHAT WISDOM WOULD SAY

Frank Knight drew the line in *Risk, Uncertainty and Profit* in 1921. Risk is a situation where the odds can be known. Uncertainty is one where the case is too singular for a frequency to exist. The distinction is not about how nervous you feel; it is about whether a distribution is available to you.

This week contains one of each. Nvidia reports Wednesday against guidance of \$91bn plus or minus two per cent. That is risk. There are prior quarters, a guide, an options market pricing the move, and a level at which you are wrong. Kevin Warsh gives his first Jackson Hole keynote on Friday. That is uncertainty. One man, one debut, no sample — nothing a volatility regime or a risk range can speak to, because those are frequency arguments and here there is no frequency.

A book sized on the first is being carried, unexamined, into the second. The mathematics that justified Friday's buying says nothing at all about Friday next.

THE RISK IT JUSTIFIES

Take Wednesday if you want it. It is priced, the range gives you somewhere to be wrong, and the semiconductor signal that turned on Friday is real. But decide Wednesday's size and Friday's size separately, and decide Friday's before Wednesday's outcome flatters or frightens you. In practice that means not letting a good Nvidia print become the reason to carry maximum gross into a speech nobody has heard.

It also means the exposures worth holding through both are the ones whose thesis depends on neither — short dollar, long gold — rather than index risk added near 7,835. What would change the answer: if Warsh's remarks are trailed in advance and narrow in scope, the second event collapses back toward risk and the objection dissolves. And if the VIX closes above 16.54, the vol regime that made Friday's buying systematic has itself broken, and the first argument goes with it.

Which of this week's two events have you actually sized for?